Leading today, building for tomorrow

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Shri Binod Kumar, Managing Director and CEO; Executive Directors; senior colleagues from Indian Bank; ladies and gentlemen. Good morning. It is indeed a pleasure to be here with the senior leadership team of Indian Bank at your conference aptly themed 'Leading through Emerging Challenges in Banking'.

One of the interesting paradoxes of leadership is that some of the most consequential decisions a leader makes may bear fruit long after his or her tenure has ended. Investments in technology, developing people, strengthening institutional capabilities, or even decisions about the direction in which an organisation should grow—these may take years to deliver their full benefits.

This is particularly relevant in banking, where institutions have a life and a responsibility that extend well beyond the tenure of any individual leader. A bank's strategy, culture and capabilities are shaped by successive generations of leadership, each building on the foundations laid by those who came before.

Indian Bank's own history illustrates this continuity. Established during the Swadeshi movement, the Bank commenced business on 15 August 1907, exactly forty years before India attained independence. From these origins, it has grown into a major public sector bank, carrying forward a legacy of service that now also encompasses the long banking tradition of the erstwhile Allahabad Bank.

The Bank's history also offers an instructive example of leadership in times of challenge. Many of you would be familiar with the turnaround of Indian Bank under the leadership of Smt. Ranjana Kumar[1] in the early 2000s. It was an achievement that involved not merely financial restructuring, but also rebuilding confidence, strengthening organisational processes and mobilising the collective efforts of employees. The benefits of that transformation extended well beyond the tenure of the leadership that initiated it.

The institution that you lead today is thus the product of decisions and contributions made by generations of bankers before you. This raises an important question: How do we ensure

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customers have evolved significantly.

For bank leaders like yourselves, the challenge is therefore twofold. First, to deliver on the responsibilities of the present. Secondly, and more importantly, building the capabilities that will enable institutions to navigate an uncertain and changing future.

Understanding the changing landscape

The fundamental principles of banking have remained remarkably consistent over time. Banks must mobilise savings, allocate credit prudently, manage risks effectively and, above all, retain the confidence of their customers. These responsibilities are as relevant today as they were decades ago.

What instead has changed is the environment in which these responsibilities must be discharged, as mentioned before. Moreover, developments that once unfolded over several years can now reshape business models and competitive dynamics within a much shorter timeframe..

Three developments illustrate this changing landscape.

First, technology is transforming banking and reshaping customer expectations. Digital payments, artificial intelligence and advances in data analytics are changing how financial services are delivered. Customers increasingly expect banking to be convenient, seamless and available on demand. Their experiences with digital platforms in other sectors are also influencing what they expect from banks. For banks, the challenge is not merely to adopt new technologies, but to harness them to improve customer experience, operational efficiency and institutional competitiveness.

Secondly, the structure of financial intermediation is evolving. Banks now operate within a wider ecosystem of financial institutions, fintech companies, technology platforms and other service providers. This creates new opportunities for collaboration and innovation, while also changing competitive dynamics. At the same time, evolving household savings preferences and greater choices among financial products are changing the environment for deposit mobilisation. These developments call for renewed attention to business models, customer relationships and the strength of the deposit franchise.

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multiple channels. The growing linkages between financial markets, institutions and economies make it important for banks to look beyond their immediate operating environment. For leadership teams, this calls for a broader strategic perspective, an understanding of how external developments may affect their businesses, and the flexibility to respond to changing circumstances.

Building Institutions that endure

The developments I have outlined present banks with both opportunities and challenges. Responding effectively requires more than adjustments to business strategies or the adoption of new technologies. It calls for sustained investment in the capabilities that enable institutions to remain strong, competitive and trusted over time.

The Indian banking system approaches this task from a position of strength. Improvements in asset quality, capital adequacy and profitability over recent years have created a sound foundation for future growth. The important task now is to build on these gains and ensure that institutional capabilities keep pace with a changing environment.

In this context, I would emphasise a few key priorities.

Sustainable growth must remain at the heart of banking strategy.

Firstly, growth remains essential to the banking sector's role in supporting India's economic development. However, its sustainability depends on sound underwriting, appropriate risk pricing, and a clear understanding of borrowers' repayment capacity. Equally important is the liability side of the balance sheet. A stable and diversified deposit franchise supports sustainable credit expansion and reflects the depth of customer relationships. The objective should be to pursue growth that is balanced, appropriately funded and consistent with long-term institutional strength.

Operational and technological resilience has become far more relevant and is as important as credit or market risk.

Secondly, as banking becomes more digital, the reliability of technology infrastructure assumes increasing importance. Cybersecurity, data protection, business continuity and

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scale and grow in complexity.

Sound governance and customer trust provide the foundations for enduring institutional strength.

Finally, governance must be reflected not only in policies and procedures, but also in the quality of decisions taken throughout the institution. Clear accountability, effective internal controls, transparency and a willingness to identify and address emerging issues are essential. Responsible lending, fair customer treatment, and effective grievance redressal remain central to public confidence. Ultimately, an institution's reputation is built on how consistently it fulfils its responsibilities to customers and other stakeholders.

Leading with foresight and purpose

Building institutions that endure ultimately comes down to leadership. Policies, systems and strategies provide the framework, but it is the judgement of leaders, the priorities they establish and the culture they foster that determine how effectively these translate into outcomes.

An important aspect of this stewardship is the willingness to look beyond immediate performance. Business targets and financial results are necessary measures of progress, but they cannot fully capture an institution's preparedness for the future.

Good leadership also requires the willingness to be challenged. Experience and institutional knowledge are invaluable in banking, but they must be complemented by an openness to new perspectives and a readiness to question established assumptions.

Leaders who encourage informed debate and welcome differing viewpoints create an environment in which better decisions can emerge, and potential problems can be identified early.

A lasting institution requires leadership at every level, not just at the top. One of the most valuable contributions of senior management is to identify talent, entrust people with responsibility and prepare them to exercise independent judgement. This involves more than formal succession planning. It requires creating opportunities for younger colleagues to

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circumstances evolve. The challenge is neither to preserve everything that is familiar nor to embrace every new idea, but to exercise sound judgement in distinguishing between the two.

In the final analysis, the legacy of leadership extends beyond business achievements or individual milestones. It lies in the quality of the institution handed over to those who follow — its people, its systems, its values and its capacity to meet future challenges. A leader's most enduring achievement may well be an institution that continues to grow stronger long after the leader has moved on.

Conclusion

As I conclude, I am reminded of the words of former President Dr A. P. J. Abdul Kalam when he inaugurated Indian Bank's centenary celebrations in September 2006. Reflecting on the qualities of creative leadership, he spoke of the need to change the traditional role "from commander to coach, manager to mentor, from director to delegator and from one who demands respect to one who facilitates self-respect."[2]

These words, addressed to an earlier generation of Indian Bank's leadership, remain relevant even today. They remind us that effective leadership is not simply about exercising authority or achieving business targets. It is about empowering people, nurturing their abilities, and creating an environment where they can contribute their best to the institution.

The opportunities before Indian banking are considerable, as are the responsibilities that accompany them. Realising these opportunities will require institutions to remain open to innovation while maintaining their commitment to prudence, sound governance and customer trust.

In an environment of continuous change, the most successful banking institutions will be those that combine the confidence to innovate, the discipline to remain resilient, and the foresight to prepare for the future.

I am confident that Indian Bank will continue to draw upon its institutional strengths and the commitment of its leadership team to contribute meaningfully to India's economic progress.

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▶ 2 Footnotes

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